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European defense one year on: Money is not the problem, capacity (and delivery) are

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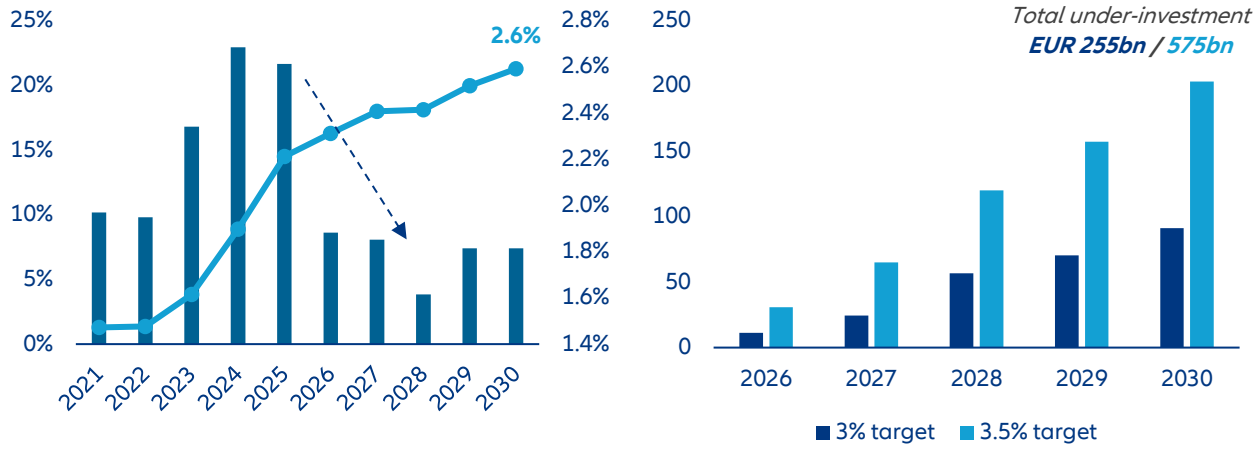
In Summary

- **European defense one year on: bold commitments, but is delivery keeping pace?** One year into Europe's landmark rearmament announcements: defense spending has increased, financial commitments have expanded (e.g. SAFE loans, +60% commitments in 2028-2034 EU draft budget) and order books have reached record highs. But industrial investment and delivery have yet to catch up. Defense spending growth has been cut in half (9% vs. above 20% in 2024/2025), and is set to reach 2.6% of GDP by 2030 (3.1% of GDP by 2035), falling short of the EU 2030 target of 3% and the 2035 NATO target of 3.5% of GDP. This means a funding gap of EUR255bn and EUR575bn, respectively.
- **In equity markets, defense companies are facing a painful reality check but the hype is not over yet.** European defense has lost its magic (+5% YTD but -8% maximum drawdown) after three consecutive years of strong performance (35-60%), a clear reality check from investors as countries take diverging paths: Baltic and Nordic countries, as well as Germany and Poland are leading the effort while Italy and Spain are not using the available fiscal tools to boost spending. Capital has been mostly channeled into equipment, rather than long-term infrastructure projects (0.11% of GDP against NATO recommendations of 1.5% of GDP). In term of innovation, defense is lagging the AI and robotics conversion but rising interest from the private investment market (above EUR10bn vs. EUR2.6bn in 2025) suggests that the innovation cycle still has strong funding leeway.
- **Money is not the constraint, conversion is.** Governments have poured commitments into a sector where newcomers cannot quickly acquire what incumbents built over decades, so excess demand turns into production bottlenecks and postponed projects rather than output. Backlogs stand at more than five times revenue while the capex ratio has stalled near 5%. Diverging national interests, no supranational steer and the absence of conditionality mandatory clauses in public financial support give the industry little reason to invest at a time when higher interest rates and material costs from the Iran conflict have cut margins (from 10% to 8%). The shortage of skilled labor adds to the pressure as firms compete for engineers with civilian sectors that pay more, and cannot quickly transition their workforce into new complex programs. The shortage is sharpest where Europe started late: drones, space and cybersecurity segments account for 26%, 16% and 13% of open defense vacancies.
- **The ongoing depletion of US interceptor stocks is another warning for Europe: external dependence is both a security risk and a capital-efficiency problem.** To fill urgent gaps, Europe buys from abroad, and the import ratio has risen from 20% in 2021 to 45% in 2025. The US's share in European imports has fallen from 71% to 48% but it still supplies almost half, and aircraft and missiles make up 82% of US purchases, with few alternatives for air defense and long-range missiles. We estimate it could take up to five years to rebuild some US stocks; until then, US domestic demand will come first, and Europe will wait in the queue behind it. Dependence is also expensive: Missile import prices are up 116% on the 2019-2021 average, so each euro buys less capacity than budgets assume.
- **The way forward: Two horizons but one single industrial roadmap.** In the short term, Europe needs to close the gaps in long-range missiles, air defense and cyber, and redirect idle automotive capacity to defense. Furthermore, it needs to back this with grants for infrastructure (a 0.5-1% of GDP corridor, or EUR760bn to EUR1.4trn cumulative to 2035) and fiscal flexibility conditional on results. In the long term, Europe needs to build supranational reserves and invest in drones, space, AI, robotics and quantum. These would spread benefits across the economy and protect the export model. Success should be judged on new capacity, spillovers, modernization and reliance rate, not on the share of GDP alone.

Rebuilding European defense: ambition meets reality

One year after the Rearm Europe roadmap was unveiled, the question is no longer one of intent but means. Does Europe have the financial and material resources to match its rhetoric? European defense spending is rising, but not fast enough. At an expected 2.3% of GDP in 2026, up from 2.2% in 2025, it is set to record a second consecutive year above the 2% threshold. Yet the headline masks a sharp deceleration: Annual growth in outlays is falling to about 9%, from more than 20% in 2024-2025, and will drift toward 4-7% by 2028-2030. This new 5-10% regime looks insufficient for to meet the ambitions of Rearm Europe. Based on our growth and inflation forecasts for 2026-2027, and a moderate 1% growth/2% inflation path thereafter, spending is likely to climb to only 2.6% of GDP by 2030, missing the 3% target. The shortfall is material: a cumulative EUR255bn funding gap over 2026-2030, widening to EUR575bn if we consider NATO's new 3.5% of GDP target for core military spending.

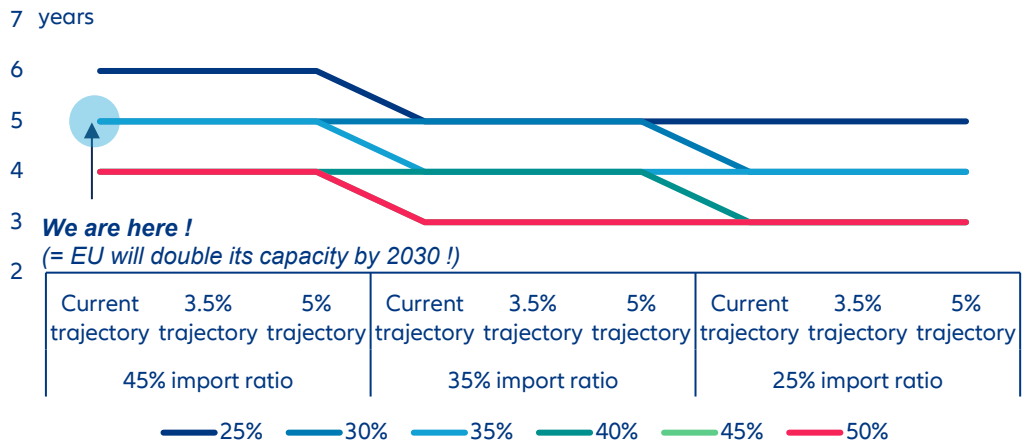
Figures 1 & 2: European defense spending trajectory by 2030 / cumulative spending gap based on 3% and 3.5% GDP budget target (in EUR bn)



Sources: European Defense Agency (EDA), Allianz Research

Europe's rearmament challenge is increasingly about execution, not just ambition. At the current pace, doubling Europe's 2025 military equipment stock would take around five years, leaving little room for delays before the 2030 deadline. Faster progress would require not only higher defense spending, but also a greater share of budgets devoted to equipment and infrastructure, alongside a stronger European industrial base. Redirecting procurement towards European manufacturers by reducing the share of imports from 45% to 25% could help accelerate capacity expansion. Under the most optimistic scenario, these combined measures could shorten the timeline from five to around three years. But Europe cannot supply itself and remains highly dependent on foreign partners to procure its military equipment. The defense spending allocation shows a 35-40% disbursement into new equipment (vs. 30-35% on NATO standards) and 0-5% into infrastructure construction/maintenance, which is quite strong by NATO standards but not as ambitious as promised.

Figure 3: Estimation of years required for EU-27 to double its military equipment based on defense spending, equipment procurement budget share and defense-related goods import ratio

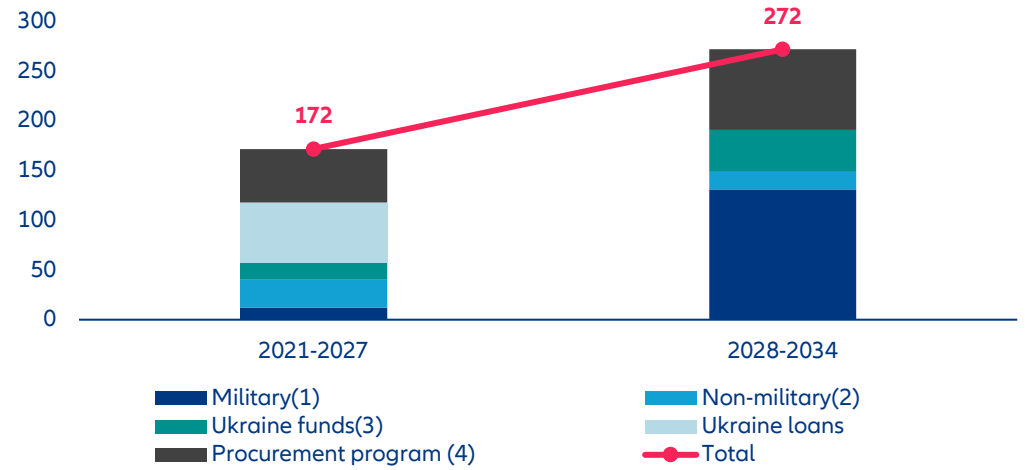


Sources: NATO, European Defense Agency (EDA), Sipri (April 2026 update), Allianz Research

Money is no longer the main constraint: capacity is

Money is not Europe's binding constraint. The draft 2028-2034 EU budget lifts defense-related commitments to around EUR270bn, at least 60% above the roughly EUR170bn of 2021-2027. That estimate excludes the European Investment Bank, which devoted 4-5% of its annual envelope to defense in 2025-2026, or EUR4-5bn a year. Extrapolated over seven years, this adds EUR30-35bn and takes the total mark-up to about 80%. The signal matters as much as the amount. While national budgets face fiscal pressure, Brussels is locking in a multi-year commitment, with no sign of fading effort at the European level. The composition is shifting too: military funds, marginal in 2021-2027, become the largest block of the next envelope, a clear break with past practice. Off-budget instruments reinforce the message, and new tools modelled on current programs could follow if demand and delivery justify them. For industrials and investors, the financing architecture is in place and still expanding. The question is no longer whether capital exists, but whether it reaches the factories that must turn it into equipment.

Figure 4: Estimated allocation of defense and non-defense European funds and financing programs with military purpose (2021-2027 vs. 2028-2034 periods based on EU budget, real and planned)



(1) Funds allocation includes aerospace segment for 2028-2034 period, not for 2021-2027 period. (2) EIB contribution not reported for 2028-2034 period in the absence of guidance. It would be an additional EUR35bn support if we take the 2027 spending estimate as reference. (3) Peace facility program including SAFE surplus (4) The SAFE program's total allocation is estimated at EUR135bn based on European sources; EUR10-20bn funding surplus will be reallocated to Ukraine support. Amount broken down over the 2026-2030 period as no payment was disbursed in 2025. Sources: European Commission, OSW, Allianz Research

SAFE loans illustrate the solution but also the problem. Off-budget and capped at EUR150bn, they should channel roughly EUR80bn into regional efforts if distribution is gradual and homogeneous. The reality is far from that. Only EUR12bn has been disbursed, about 8% of the total, against EUR131bn formally adopted. Poland, the largest beneficiary at EUR43.7bn, has drawn 15% of its envelope. France, Italy, Belgium and Spain have received nothing yet, and Hungary's EUR16.2bn is still pending. Industrials have long blamed red tape and lengthy validation procedures for construction delays and underperforming projects, and SAFE is repeating the pattern. The multiplicity of programs (EDIP, FED, AGILE, innovation funds, EIB defense lines) compounds the issue: they do not connect to industrial segments and leave firms navigating parallel application processes. Participation is uneven as well, with several states slow to apply. Without faster execution, the money risks arriving after the equipment gap has widened, and after the political window that justified it has narrowed.

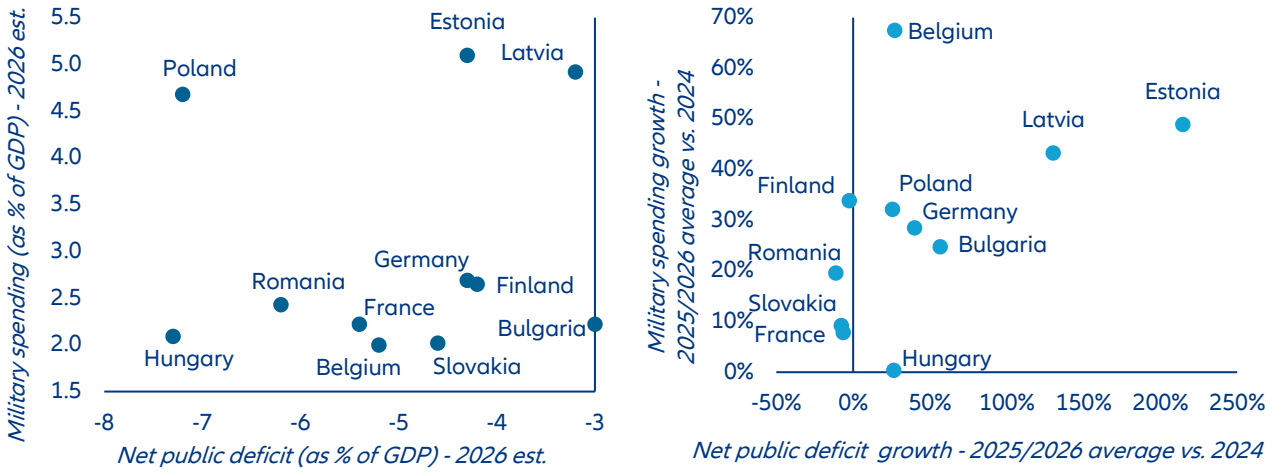
Table 1: Safe procurement program allocation and utilization rate

Subscribers	EUR bn				
	Allocation	Adopted	Pending	Disbursed	Utilization rate
Poland	43.7	43.7		6.6	15%
Romania	16.7	16.7		2.5	15%
Hungary	16.2		16.2		0%
France	15.1	15.1			0%
Italy	14.9	14.9			0%
Belgium	8.3	8.3			0%
Lithuania	6.4	6.4		1.0	15%
Portugal	5.8	5.8			0%
Latvia	3.5	3.5		0.5	15%
Bulgaria	3.3	3.3		0.5	15%
Estonia	2.3	2.3		0.4	15%
Slovakia	2.3	2.3			0%
Czech Rep.	2.1	2.1			0%
Croatia	1.7	1.7		0.3	15%
Cyprus	1.2	1.2		0.2	15%
Spain	1.0	1.0			0%
Finland	1.0	1.0			0%
Greece	0.8	0.8		0.1	15%
Denmark	0.5	0.5			0%
Total	**147**	**131**		**12**	**8.1%**
% of total fund	**98%**	**87%**	**11%**	**8.0%**	

Sources: European Commission, Allianz Research

The European fiscal impulse tool was not used to its full potential. Europe's fiscal loosening leeway, authorizing 18 members to run until extra deficits up to 1.5% of GDP for defense spending showed some results, but not as much as expected. Among positive results, it clearly helped push military spending back above NATO's former 2%-of-GDP benchmark in 2025 for the first time, and keep the momentum up in 2026. Among the 18 eligible countries, 12 are expected to run deficits above 3% in 2026 (70%) and only eight of them recorded a double-digit growth of military spending over the 2025/2026 period compared with 2024 ahead of the launch of the tool. If some countries like Poland, Latvia, Estonia or even Germany are good examples of the positive externalities of the NEC on European defense ramp-up efforts, the overall picture is quite uneven at the European level. Indeed, a higher deficit is not the guarantee of stronger defense spending, as showed by Belgium, Hungary and Slovakia, which carry high deficits but grew military budgets by only 4-5% in 2026. Italy, Spain and the Netherlands raised spending by a modest 5-8% and stayed close to Brussels' 3% line. With interest rates high and markets volatile, France's deficit being the cautionary example, that prudence is understandable. The NEC works, but it is still far from being used to its full potential. This clearly demonstrates that Europe is not running out of resources to rebuild its army but rather of will, at public or private level.

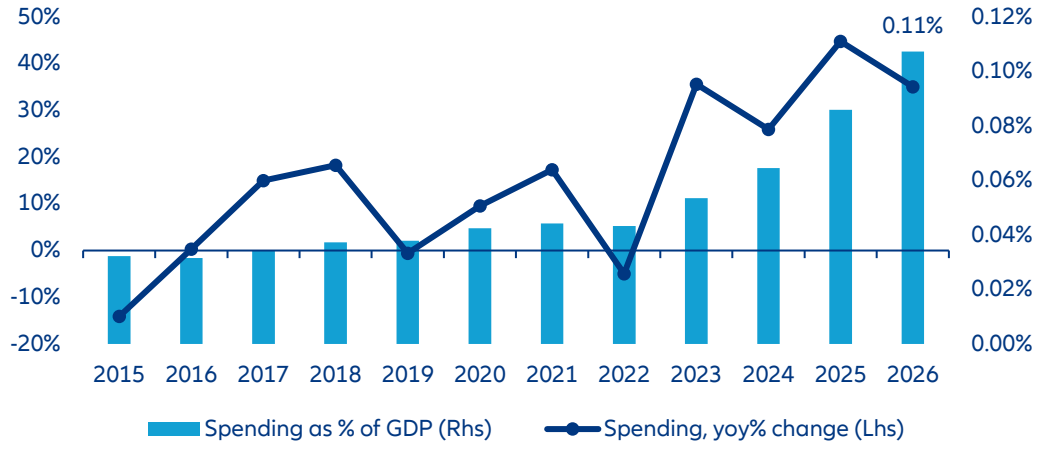
Figures 5 & 6: Estimated net public deficit and military spending as % of GDP in 2026 / Growth of net public deficit and military spending, 2025-2026 average vs. 2024



Sources : IMF (WEO October 2026), NATO (database update July 2026), Allianz Research

Procurement is also crowding out the long term. Spending favors short-term equipment gaps, while defense infrastructure stands at only 0.11% of GDP in 2026, a small share of regional investment. Quick buys beat durable capacity, which leaves the underlying production base no stronger. The undersubscription to SAFE loans is the sharpest evidence: the program did not attract enough demand, and EUR10-20bn is likely to be reallocated to Ukraine. Europeans are not short of funding but of capacity to buy. Sourcing rules limit purchases outside Europe, yet domestic supply cannot absorb the orders either, so governments can neither buy abroad nor at home as much as they would like. Strict rules on foreign investment in sensitive defense assets further limit outside capital for new capacity, closing another route to faster expansion. The pattern points one way: Europe's bottleneck is industrial, not financial. The next euro of ambition should go to factories, infrastructure and faster execution, not to larger envelopes. Otherwise Europe will keep announcing money it cannot spend.

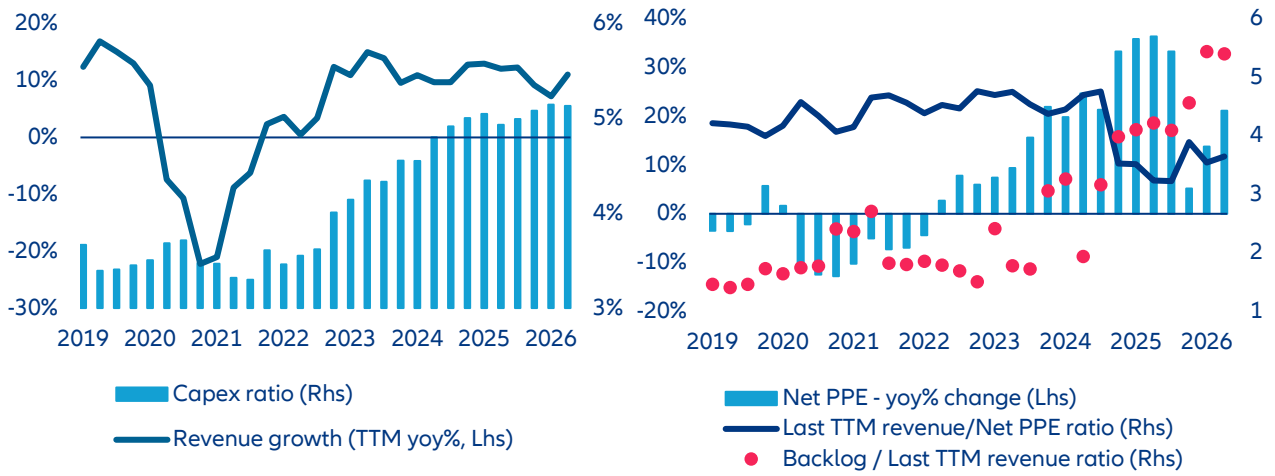
Figure 7: Defense infrastructure spending in EU-27, trend and share of GDP



Sources: NATO (July 2026 update), Allianz Research

Europe's industrial conundrum: a record-high backlog did not translate into new investment. European defense has never had so much demand, yet its largest firms are not building the capacity to serve it. Order backlogs have hit record highs, at more than five times trailing revenue for the ten biggest listed groups, driven mostly by national governments. Revenue still expands at around +10% on a 12-month trailing basis, but the trend is flattening, which raises a question: has the peak already been reached? Capex points the same way. After the surge of 2023-2024, the capex ratio has stabilized around 5%, a natural ceiling that matches the lack of new impulse on sales. Orders are being booked faster than they can be converted into output. This is the industrial conundrum. The timing for investing could hardly be better, with full order books and political tailwinds. But two brakes are holding firms back: a monetization lag between orders and cash, and mild confidence in the durability of state commitment. Managers would rather move slowly than be left with overcapacity if budgets disappoint. The consequence is a self-inflicted bottleneck: the demand is there, but the supply response is rationed by caution.

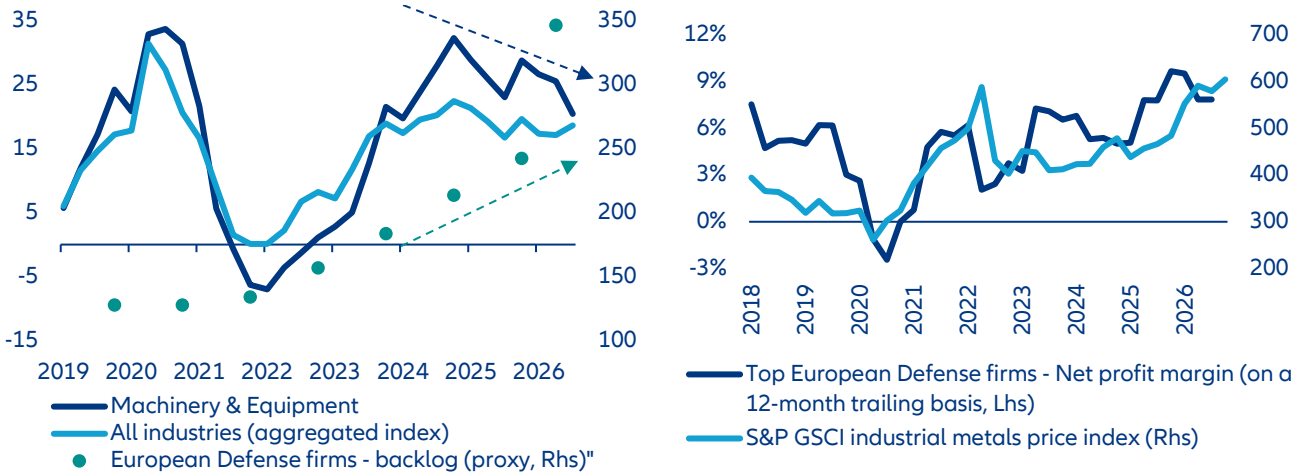
Figure 8 & 9: Revenue & investment trend of top 10 biggest defense firms in Europe* / Ammunition infrastructure and equipment, revenue and backlog trend in Europe**



*Data as of Q2 2026. *Based on a non-fixed sample of corporates but quarterly revenue value / **Rheinmetall data used as a proxy as it became the biggest defense contractor for the German defense department (Bundeswehr) in a few years and the most capitalized defense firm in Europe. Sources: LSEG Datastream, Allianz Research*

The defense industry is adopting a defensive approach to cash management: securing margins rather than chasing new revenue. Scaling up fast without disrupting current activity or inflating costs is harder than early optimism suggested, and the initial enthusiasm for capacity expansion has given way to caution as delivery under high-stakes pressure turns out to be tougher than planned. Visibility is the second brake. Future budgets and governance remain uncertain in a shifting political landscape, with the far-right push visible in several European countries adding doubt over the orientation and durability of defense priorities. All these elements put together drive a weak incentive to invest aggressively in expensive and long-term projects. Market conditions have also turned. Tensions in the Middle East have lifted energy and raw material costs, and the S&P GSCI industrial metals index is back near its 2022 highs, while higher borrowing costs make every risk more expensive. The margin picture shows the squeeze: net profit margins of the top European defense firms peaked around 10% in 2025 and have slipped back to about 8%. In this environment, protecting margins is more rational than chasing new revenue. Backlogs are already full and the sector enjoys relative protection from foreign competition, so there is little need to take risks to win new orders. Defense groups are therefore becoming defensive themselves, prioritizing cash discipline over expansion. The outcome is an industry that has the orders but not the appetite, and a Europe whose rearmament will be paced by corporate prudence rather than by political ambition.

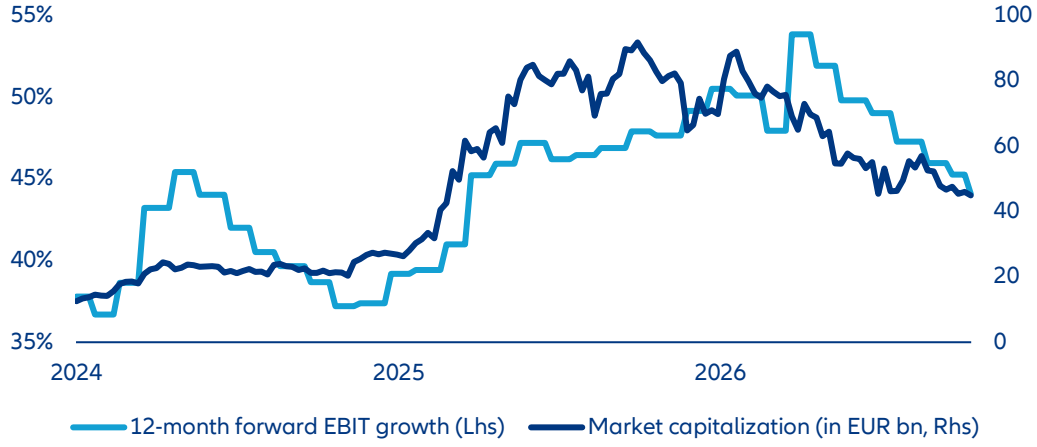
Figures 10 & 11: Production capacity from European manufacturing and defense-related firms vs. European defense firms backlog* / Top European firms margin vs. industrial metals spot price



Data as of Q2 2026 for backlog & Q3 2026 for industrial capacity trend (survey basis, net balance of firms reporting an increase or decrease of their capacity). Sources: DNCEG, LSEG Datastream, Allianz Research

The undesirable effects of a backlog. Governments have poured commitments into a sector where newcomers cannot acquire in a few months what incumbents built over decades, so excess demand turns into production bottlenecks and postponed projects rather than output. The structure compounds the problem. Defense ministries have become the primary customer, competition is weak and contracts are concentrated on a handful of players. That is the captive market trap: a secured backlog, instead of lifting investment appetite, breeds complacency and decision inertia on new infrastructure. Rheinmetall is the case in point. With about 60% of its backlog coming from the Bundeswehr, it cut its revenue guidance in Q2 after removing a naval project it had committed to but could not deliver as it was far from its core ammunition business. Diversification is sound only when it is coherent and gradual. Markets have been unforgiving: the share has lost about 35% year to date, and market capitalization fallen to roughly EUR 40-45bn while forward EBIT growth has slipped from its 2026 peak of over 50% to below 50%. The sector that was once in the spotlight is now paying for the hype, with disappointing delivery feeding a market verdict that could weigh on the next round of investment.

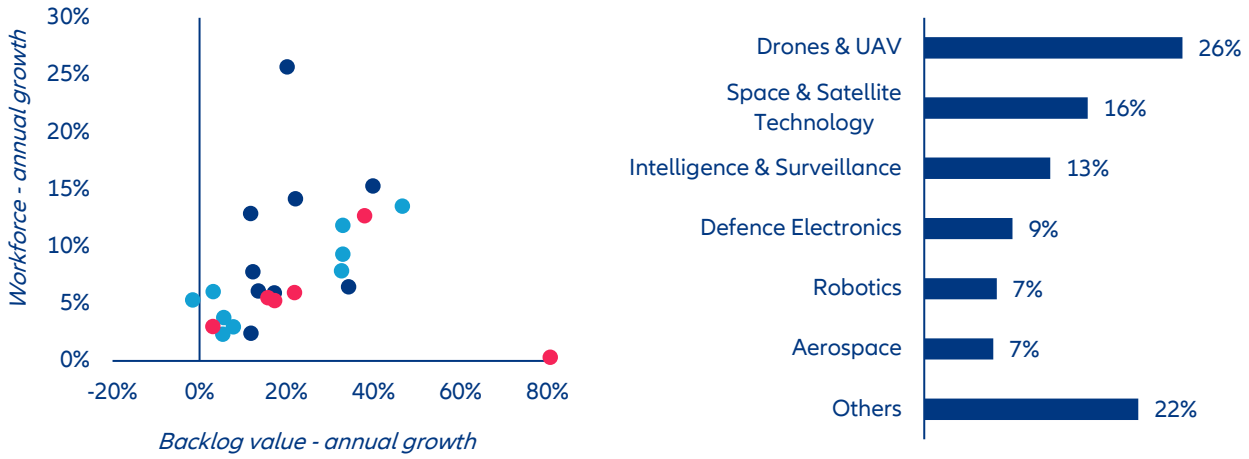
Figure 12: Rheinmetall forward profit growth vs. market capitalization



Sources: LSEG Datastream, Allianz Research

Europe's defense industry is running out of people before it runs out of orders. We estimate the sector employs 650,000-700,000 people, up 30-40% since 2021, while military spending has risen 75% and backlogs have more than doubled. The gap is widening. In our sample of leading firms, backlog growth per point of workforce growth was about 2 before 2025, rose to 3 in 2025 and reached 4 in H1 2026, as EU rearmament programs and fiscal escape clauses poured money into order books. This is more than a capacity limit. Firms have little room to hire at scale: they compete for engineers with civilian sectors that pay more, and newcomers need years of training before they can deliver on complex programs. Expertise cannot be bought, only built, and in defense industrial lead times are long and some skills exist nowhere else. The shortage is sharpest where Europe started late. Drones and UAVs account for 26% of open defense vacancies, space 16%, intelligence and surveillance 13%, electronics 9%: segments in which Europe was largely absent until recently. Industry also risks overestimating what it can absorb. Money moves at political speed, learning curves at industrial speed. Scaling up with too few or poorly matched staff brings delays and failures, so the backlog will convert slowly.

Figures 13 & 14: backlog value vs. workforce growth for top European defense firms (2024-H1 2026) / Current open jobs in Defense sectors in Europe, per activity segment breakdown

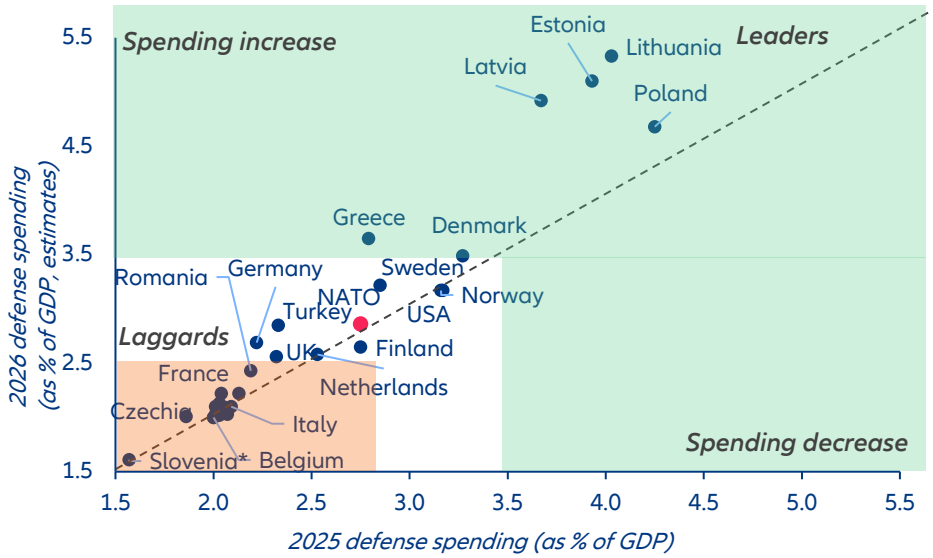


Sources: LSEG Datastream, DefenseJobsEU.com, Allianz Research

Who is piloting the plane ?

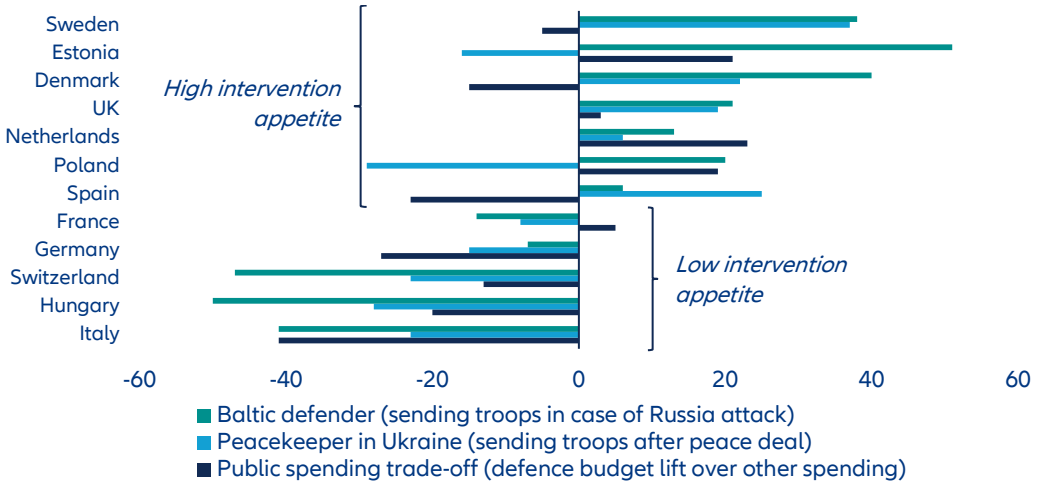
Europe's defense effort is moving at two speeds. The 2025-2026 comparison splits the continent into leaders (Lithuania, Latvia, Estonia and Poland), which are heading toward defense spending at 4.5-5.5% of GDP in 2026 and a pack of laggards, including France, Italy, Belgium, Czechia and Slovenia, which are still below 2.5%. Denmark and Sweden sit in between, above the diagonal. Geography sets the gradient first: Proximity to Russia determines the sense of emergency. But national equipment levels and domestic industrial strength matter as well. Frontline states are rebuilding from thin inventories, while larger Western economies feel less pressed and can lean on existing stocks and industrial bases. Politics reinforces the divide. Household surveys show strong appetite for intervention in Sweden, Estonia, Denmark, Poland and the UK, but little in France, Germany and Italy, where respondents also reject trading off other public spending for defense. Where popular support is thin or social cohesion fragile, governments hesitate to push ambition. The risk is that the largest economies, which hold the biggest industrial bases, set the slowest pace, leaving aggregate momentum dependent on a handful of small, frontline budgets. Europe cannot be defended by its Baltic fringe alone.

Figure 15: Core defense spending as % of national GDP among NATO group, 2026 vs. 2025



Sources: NATO (July 2026 update), Allianz Research

Figure 16: European household sentiment towards different defense commitment scenarios



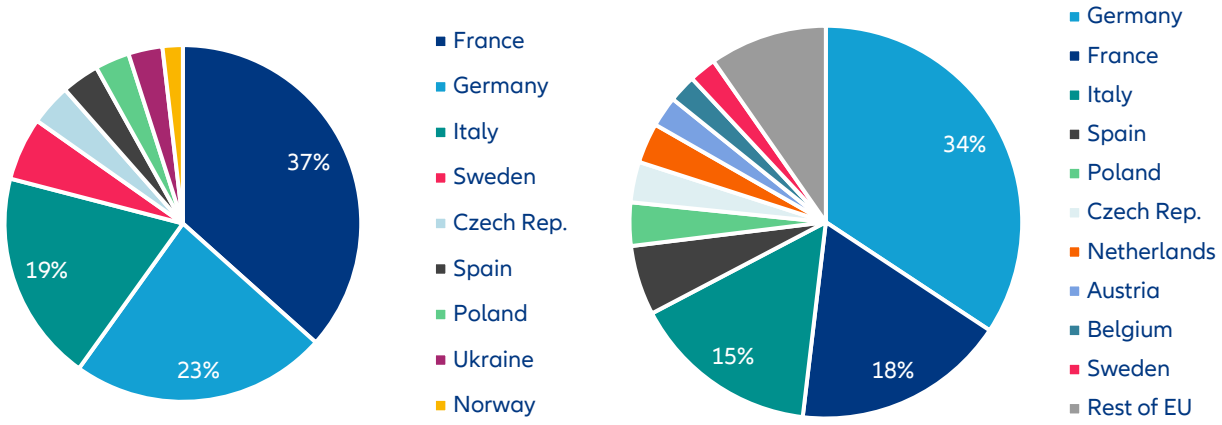
ECFR-commissioned public opinion survey, conducted by YouGov, Mandate Research and Turu-uuringute in May 2026. Sources: ECFR, Allianz Research

Europe's biggest competitor is itself. It is quite straightforward to see that European nations do not ride in the same direction. A quick look at the industrial project pipeline shows duplication rather than scale. Two rival next-generation fighters are under way: the Global Combat Air Program (GCAP) led by the trident UK, Italy, Japan and the French-led Air Combat Fighter (ACF), the successor to former French-German Future Combat Air System (FCAS) initiative whose failure this year illustrates how national interests can sink a supra-regional target. On land, four separate platforms (MGCS, Challenger 3, K2PL, A2CS) are built by four different coalitions. All are not European-led as K2PL is a hybrid partnership between Poland and South Korea to replicate the flagship K2 tank used by the South Korean army. This sends a diverging signal: Europe can find partners other than the US for military procurement, but also it still needs foreign expertise to develop heavy equipment quickly (three-to-five year timeline). For comparison, some joint projects, like the French-German Main Ground Combat System (MGCS), have an industrial lead of over 20 years, and the latter also faces industrial divergences between partners. Behind what is said about the slow development of FCAS and MGCS is a Franco-German leadership contest that is the cause of all this fragmentation. While two pilots are better than none, they do not share the same view in terms of defense: Paris pushes sovereignty and autonomous industrial capacity, while Berlin prioritizes rapid re-equipment to be

effective if war comes. The current air defense pipeline shows the split. The German-led Sky Shield (ESSI) targets 2027-2030, while the European Twister interceptor, driven by France, arrives in 2035-2040. Both logics are defensible, but run in parallel they fragment demand, shorten production runs and raise unit costs. The answer is not black or white. Europe needs short-term equipment to be credible, and buying off the shelf abroad is sometimes the fastest route, as K2PL with South Korea illustrates. But overreliance on external providers has a price: a weaker domestic industry, lost competitiveness and strategic dependence for decades. The workable middle path is to buy abroad for urgent gaps while anchoring long-cycle programs in genuine cooperation, with common requirements, shared leadership and pooled orders. Without that, Europe will spend more and get less.

Industrial direction won't come from a single voice but three. France, Germany and Italy account for about 80% of the European revenue among the world's top 100 arms sellers, and for 67% of the EU's military-related output in 2026. The two measures point to different leaders. France dominates on corporate sales (37%), while Germany leads on production on its territory (34%). No major project can be defined, financed or delivered without all three, which makes their alignment the main lever for an investment trend. The setbacks on FCAS and MGCS did more than delay equipment: they fed doubts about whether Europe can ramp up production to meet its targets, and markets and managers read those signals closely. The trio should settle priorities, share leadership by project and commit to joint program with fixed schedules and pooled funding. A credible Franco-German understanding would carry the most weight. It would show that cohesion is possible and give industry the visibility it needs to invest. Without it, the efforts of smaller countries will stay fragmented, whatever their budgets.

Figures 17 & 18: European country share in top 100 global arms sellers (based on 2024 annual revenue) / in total estimated EU-27 military-related output in 2026*



**proxy based on Aircraft and structural metals (segment including tanks and weapons) gross output value. Sources: SIPRI, Oxford Economics, Allianz Research*

Beyond the rivalries, Europe's military priority is clearly the sky. Long-range missiles, air and missile defense, drones and modernized fighters all answer the same shift in the nature of war. Modern conflict is moving away from massed land and naval engagements toward air strikes and drones aimed at tactical infrastructure, where disruption hurts the economy as much as the army. Ukraine made the point: Drones have become full combat tools, used for reconnaissance and targeting as well as for dropping munitions, at a fraction of the cost of traditional systems. The conflict involving Iran confirmed it, with data centers and power systems among the damaged assets. The implication is that deterrence now depends on striking deep, intercepting cheaply and protecting critical networks, rather than on heavy armor or large fleets. Europe's list of priorities reflects that lesson. The consensus on what to buy is real, the remaining challenge is how to organize and fund it together.

Table 2: Current European industrial projects for building up new generation military equipment

Project name	Equipment	Countries involved	Construction launch	Estimated delivery date
Air				
Global Combat Air Program (GCAP) / Tempest (Edgewing JV)	Airfighter	UK, Italy, Japan	2022	2035
ACF (Future Air Combat - former NGF)	Airfighter	France*	2018	2029
Rafale F5 standard	Airfighter	France	2024	2033-2035
Remote Carrier Compact (FCAS remainder)	UAV	France, Germany, Spain	2018	2029
Eurodrone (MALE RPAS)	UAV	Germany, France, Italy, Spain	2016	2031
Unmanned Combat Air Vehicle (UCAV) companion	UAV	France	2024	2033-2035
Land				
Main Ground Combat System (MGCS)	Tank	France, Germany	2017	2040-2045**
Challenger 3	Tank	UK-Germany	2021	2027-2030
K2PL	Tank	Poland, South Korea	2025	2028-2030
Army Armoured Combat Systems (A2CS)	Armored vehicles/Tank	Italy-Germany	2025	2028-2029
Missiles/Rockets				
European Long-Range Strike Approach (ELSA)	Short to long-range missile + Launcher	France, Germany, Italy, Poland, Sweden, UK	2024	~2030
Stratus (ex Future Cruise/Anti Ship Weapon)	Cruise / anti-ship missile	UK, France	2017	~2030
Taurus Neo	Long-range air-launched cruise missile	Germany, Sweden	2025	2029-2030
Twister	Ballistic missile interceptor	France , Italy, Germany, Netherlands, Spain, Finland	2024	2035-2040
European Sky Shield Initiative (ESSI)	Air and missile defense system	Germany (lead) + 24 European states	2022	2027-2030
European Drone Defense Initiative	Counter-drone defense network	EU member states	2025	2027-2033
Naval				
New Generation Aircraft Carrier (PANG)	Aircraft carrier	France	2025	2038
SNLE 3G	Nuclear ballistic-missile submarine	France	2024	2036-2037
Multi Modular Patrol Corvette (MMPC, ex-EPC)	Naval corvette	France, Italy, Spain, Greece + other European states	2019	2030
Space				
IRIS2	LEO/MEO satellite constellation	EU / ESA member states	2024	2030

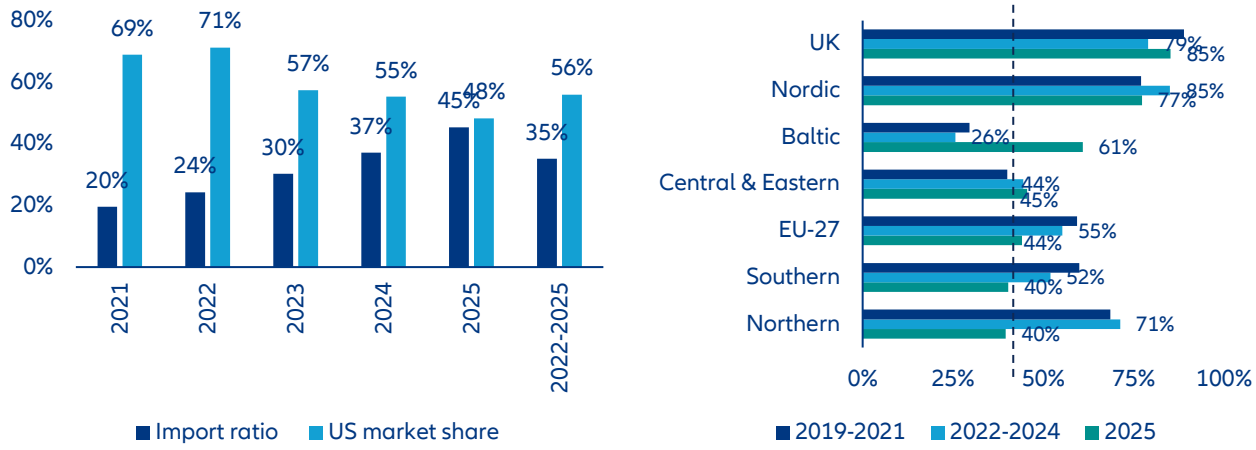
*UAV = Unmanned Aircraft Vehicle. *former FCAS project reframed after the withdrawal from Germany. ** Reframing schedule after the disclosure of industrial divergences between France and Germany. Source: Allianz Research*

Europe needs to bet on itself, not only for sovereign reasons

External reliance has not disappeared but is changing shape. Foreign dependence has almost doubled since 2022, from 24% to 45% of procurement, and the US share has dropped from 71% to 48%. But Washington is still the main supplier, and in the UK, the Nordics and the Baltics, it still supplies the large majority of external purchases. What is new is that buying abroad is starting to give way to partnering. German and Israeli primes already cooperate on missiles, loitering munitions and satellites, and a deal to turn a German car plant into an air defense site is taking shape. These are early signals, but they matter. Openness is the fastest way to meet short-term demand when domestic capacity is stretched, and real investment commitments on European soil turn a purchase into capacity. But openness is also hard to square with security stakes and sovereign risk: whoever owns the technology and the supply chain holds a lever over Europe's defense. The condition is close monitoring: governance, ownership, access to critical know-how and exit options all need to be locked in upfront. This will not be a replicable template

for the whole sector but rather a tool for targeted, specific needs where Europe cannot wait for its own industry to catch up.

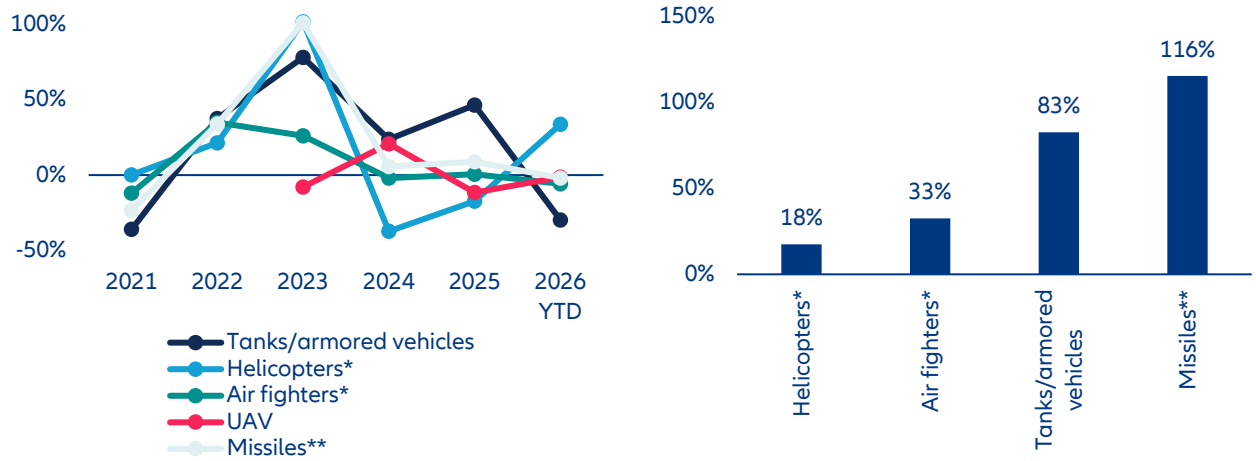
Figures 19 & 20: Imports of arms, non-EU share & US share among non-EU imports / US arms import share in Europe, per region



Data as of 2025. Sources: SIPRI, Allianz Research

Foreign dependence is also a price problem: inefficient capital allocation due to inflationary import costs. Since 2022, as Europe turned to non-European suppliers for arms and ammunition, import prices per kilogram have risen well beyond what a technology premium can justify. Compared with the 2019-2021 average, missiles now cost 116% more, more than double the pre-war level. Tanks and armored vehicles are up 83%, fighters 33% and helicopters 18%. The pattern follows dependence. Where Europe has little or no domestic alternative, as with US interceptors and long-range missiles, suppliers have had room to pass premium margins on to buyers facing scarcity and urgent demand. Higher costs linked to AI expansion and the Middle East conflict play a role, but they do not explain the whole picture: prices have flattened this year for most categories despite renewed energy-driven inflation, which points to pricing power as much as input costs. The consequence is direct. Europe pays more for the same equipment, not because it is worth it but because it cannot wait. Each euro committed buys less capacity than budgets assume, so the real size of the rearmament is smaller than the headline.

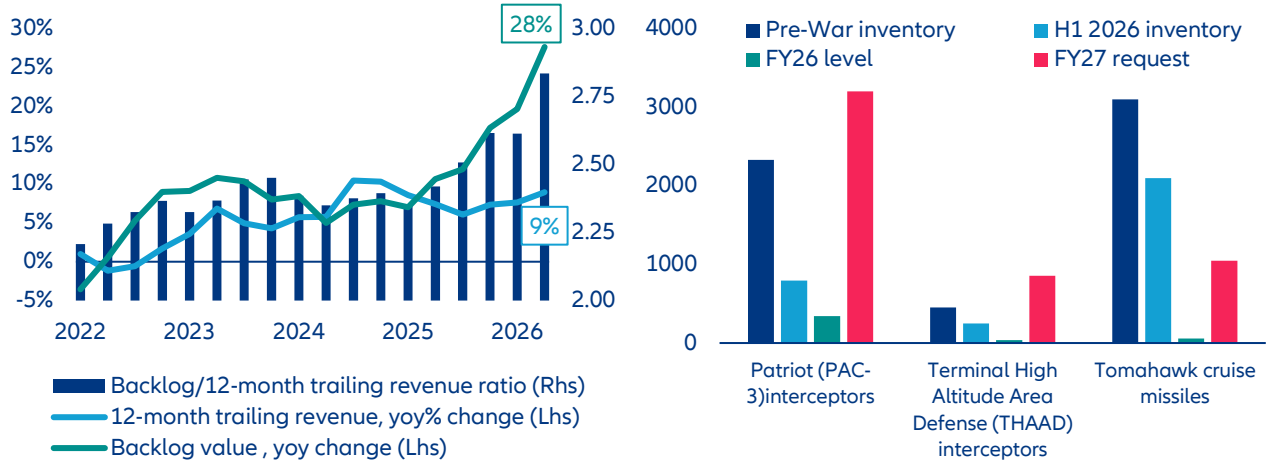
Figures 21 & 22: Evolution of price non-European imports of military equipment in EU-27 over 2021-2026 period (in EUR/kg) / Current non-EU import price gap vs. 2019-2021 average, per military equipment breakdown



*Data as of July 2026. *Equipment with weight over 2,000 kg. **Broad segment including bombs, mine and cartridge. Sources: Eurostat, Allianz Research*

The US ammunition crisis: an unpleasant but welcome wake-up call. The depletion of US missile stocks is a warning for Europe: a single supplier can fail it at any moment, by choice or by necessity. The Iran conflict has consumed interceptors at a pace production cannot match. Compared with pre-war levels, our reading of the data shows H1 2026 inventories down about 65% for Patriot, 45% for THAAD and 30% for Tomahawk. Washington's answer is a rebuild: its FY27 request targets about 3,200 Patriot interceptors and 860 THAAD interceptors. But factories are the bottleneck, not budgets. Backlogs at US missile makers are growing at 28% a year against revenue growth of 9%, and orders now stand at about three times annual sales. On current ramp-up rates, we estimate four years to deliver the Patriot request and five for THAAD. Until then, US domestic demand will come first, and Europe will wait in the queue behind it. The US is not a last-resort partner, because it has no spare capacity to lend. The same weapons are now in short supply on both sides of the Atlantic, so Europe cannot count on American stocks to cover its own air defense.

Figures 23 & 24: US key missiles manufacturers revenue and backlog growth / Evolution of inventory of most popular air defense interceptors along Iran war conflict and Pentagon budget evolution for missile procurement

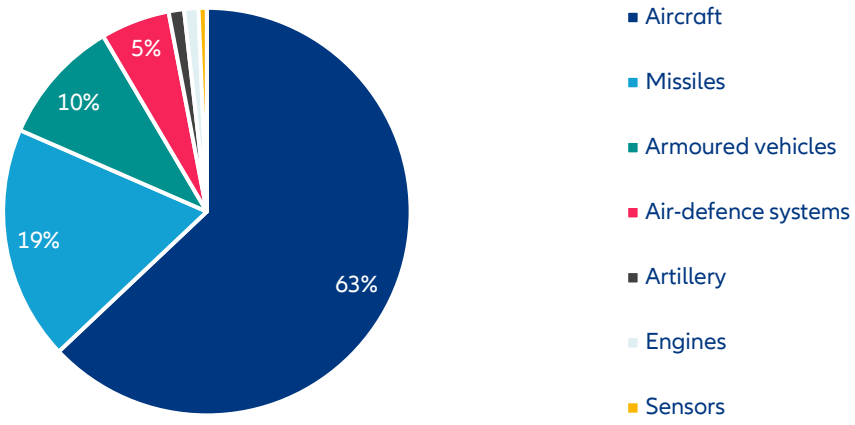


Left chart: data as of Q2 2026. / Right chart : Pentagon mandatory budget overview released in April 2026. Source: US departments of State and War, CSIS, LSEG Datastream, Allianz Research

Europe's defense industry needs three leaders, not one

Rebuilding defense means thinking short-term with a long-term horizon state of mind. When defining European priorities in terms of procurement but also industrial investment, reducing US exports of arms and ammunitions to Europe would help to connect the dots. Aircraft account for 63% of EU imports from the US and missiles 19%, so these two segments make up over four-fifths of the total. Self-reliance has to be built there first. In the short term, Europe should widen its sourcing to cushion the post-Iran arbitrage in US production. On missiles, the options are narrow: Israel is the only credible supplier outside the US, since China and Russia are not an option. That choice should come with local production and investment commitments. On fighters, Europe can lean on its own technology and speed up upgrades, which makes cutting reliance on the US realistic even in the near term. On drones, Ukraine offers scale and unmatched combat experience, and Europe should plug into it through joint production and shared practice. Türkiye can support local manufacturing, and South Korea can help on armored vehicles and robotics as well.

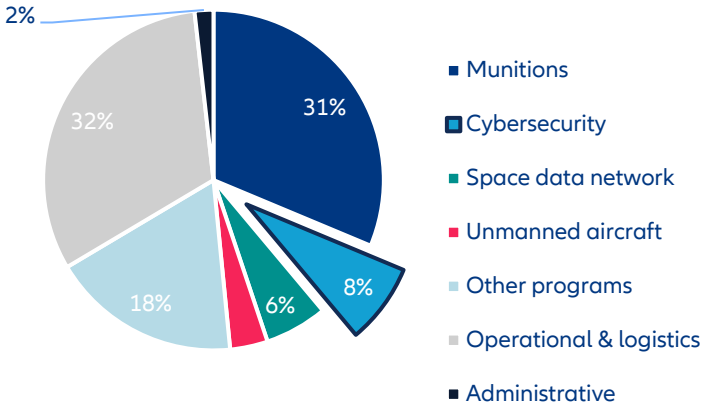
Figure 25: breakdown of EU-27 imports from the US by military equipment type



Data as of 2025. Sources: SIPRI, Allianz Research

Defense capacity should not be exclusively assessed in hardware. Software, IT and telecoms are overlooked, though new equipment carries a heavy digital load and produces vast amounts of data. Used well, that data is a performance driver. Used poorly, it is a vulnerability. Cybersecurity is the other missing layer: modern conflict is fought on networks as much as on the ground. It is no accident that, in the extra funding requested by the US after the Iran clash, cybersecurity stands at about 8% and is the largest dedicated capability line after munitions. Europe should match that signal. There is also a risk of new dependence on the US here. Leading AI models are ahead in detecting system flaws and patching them, and relying on them would hand a foreign provider a view into critical European systems. Europe should invest in open-weight models it can run, audit and adapt on its own infrastructure, and pair them with a European cyber shield. This is an under-funded segment and a strategic one: capacity that cannot be switched off from abroad.

Figure 26: Breakdown of additional funding requested by US department of war after Iran clash



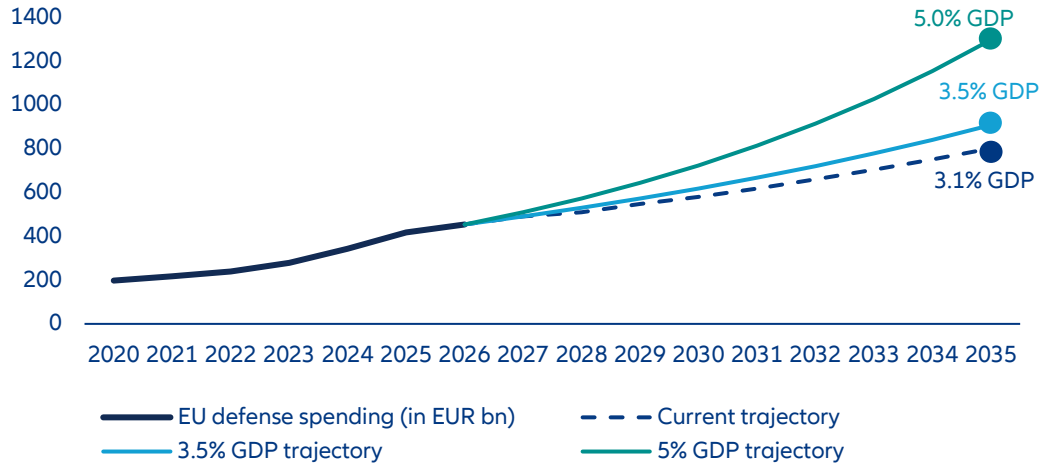
Sources: US department of war and department of State (Epic fury operation report for US Congress), Allianz Research

A two-horizon roadmap

Horizon 1 - Filling the short-term hole to secure protection minimum

The most important action is being consistent. On the current path, spending reaches about 3.1% of GDP by 2035, close to EUR800bn a year. For a region that was below 2% only a few years ago, that is a strong result. The 3% objective may have been set too early, at a time when industry could not absorb the funds. The 3.5% and 5% paths show the stakes: they would require roughly EUR900bn and EUR1.3trn a year by 2035, volumes that factories and supply chains could not deliver on today's footing. Policy should therefore be judged on more than one number. Four measures matter more. First, new output capacity: how many more missiles, vehicles and munitions Europe can produce each year. Second, industrial externalities for automotive, electronics, software and materials. Third, modernization: whether equipment and technology are up to date and are competitive for export market. Fourth, the reliance rate: the share of capability that depends on non-European suppliers. A budget that rises while these four indicators stagnate is a failure. A smaller one that raises capacity and lowers dependence is a success. Europe should publish them alongside the spending ratio.

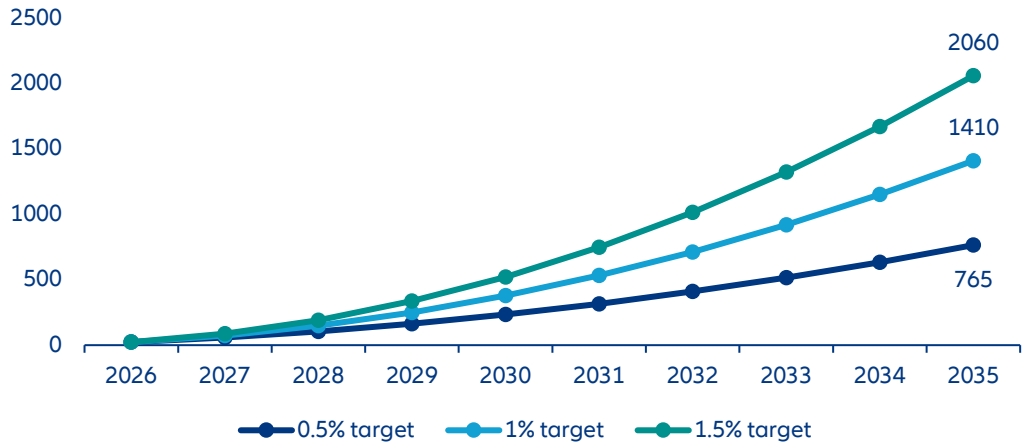
Figure 27: EU-27 defense spending as % of GDP trajectory over 2026-2035 period



Sources: European Commission, European Defense Agency, Allianz Research

Build the ground before the factories. Europe has bought the missiles and forgotten the ground they stand on. Infrastructure is where rearmament stalls: production sites, depots and logistics do not build themselves, and a sleepy private investment cycle will not wake without a push. Governments should provide it, through grants and subsidies aimed at defense infrastructure. NATO's 1.5% of GDP line by 2035 should be read as a compass, not a deadline. Reaching it would mean covering a hole above EUR2trn, on top of procurement bills that are already heavy. Europe should set a realistic corridor of 0.5-1% instead, which still demands EUR760bn to EUR1.4trn of effort. Public money cannot replace the market, and it should not try. Its job is narrower: lower the entry cost, signal permanence and rekindle an investment engine slowed by high rates. Every euro of support should buy a commitment in return, on capacity, deadlines and European location. Defense becomes a new vertical of European industrial policy, planned with the ambition once reserved for energy and chips.

Figure 28: Infrastructure spending scenario, cumulative investment over 2026-2035 period (in EUR bn)



Source: Allianz Research

No free lunch: look at home before buying abroad. Europe's car plants run below potential while its defense lines run beyond it. This is an opportunity for European governments to play matchmaker and build up industrial bridges, especially as the automotive industry slows down. Steering idle automotive capacity, workforce and supplier networks toward defense primes in a first step, then lifting output without burning scarce capital would kill two birds with one stone: loosening bottlenecks in defense while easing the production cost structure for automakers. Each new link proves the two industrial agendas can be synchronized. Procurement must follow the same logic. Domestic orders come with capex commitments attached. Foreign technology is welcome only when the need is critical and recurrent, and only if it brings production and investment onto European soil. Buying abroad with no local return is a bill, not a strategy. The short-term priorities are narrow and clear: long-range missiles, air defense to shield infrastructure and cyber tools against disinformation and external attacks. Europe should treat price as a security variable: build competing sources, pool orders to gain bargaining power and tie large contracts to production on European soil.

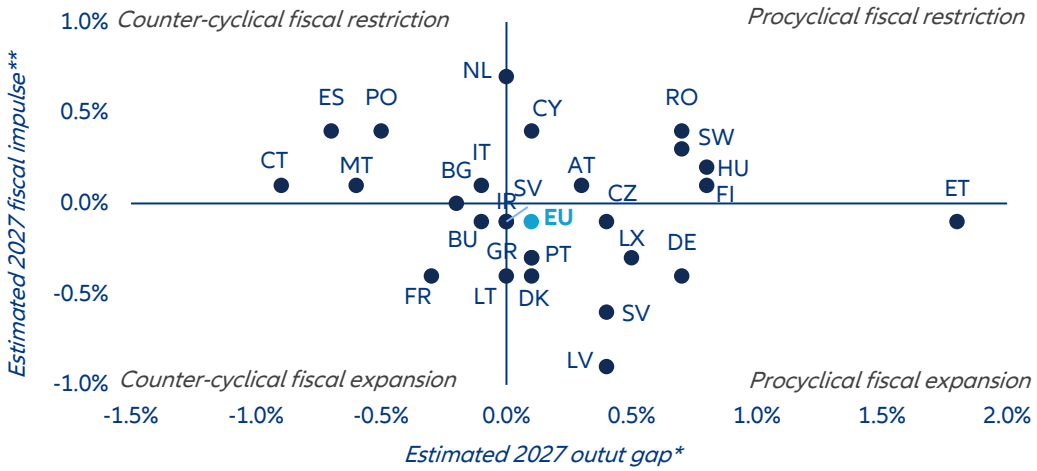
Table 3 : Non-exhaustive list of key automotive/defense partnerships and/or deals struck in 2026

Date	Automaker	Defense Partner	Deal Type
Mar 2026	Volkswagen (DE)	Rafael (IS)	Plant conversion / JV
May 2026	GM (US) & JLR (UK)	UK Ministry of Defense	Joint bid
Jun 2026	Mercedes-Benz (DE)	Tytan Technologies (DE)	Partnership (MoU)
Jun 2026	Rheinmetall (Power Systems*, DE)	AEQUITA (DE)	Transaction
Jun 2026	Renault (FR)	Thales (FR)	Strategic partnership
Jun 2026	Renault (FR)	Turgis & Gaillard (FR)	Production partnership
Jun 2026	Renault (FR)	John Cockerill (BE)	Development partnership
Jun 2026	GM (US)	Lockheed Martin (US)	Strategic partnership (MoU)
Jun 2026	Stellantis (US)/Peugeot (FR)	Thales (FR)	Partnership
Jun 2026	Volkswagen (DE)	Rafael (IS)	Defense production
Jun 2026	Valmet Automotive (FI)	Patria	Multi-year production deal
Jul 2026	Ford, GM, BC Customs (US)	US Army	Prototype contracts
Aug 2026	GM & Ford (US)	US Army	Tactical truck contracts
Sep 2026	Ford (US) + General Dynamics/Ricardo (UK)	UK MoD	Contract bid
Sep 2026	GM Defense (US) + NP Aerospace/BAE Systems(UK)	British Army	"Team LionStrike" bid
Oct 2026	GM Defense (US)	Pentagon / US DoD	Expansion discussions

Source: Allianz Research

Flexibility is earned, not granted. The fiscal impulse is fading while rates are getting higher and stagflation risks in Europe are rising, which means public effort could weaken just when momentum is needed. Greater fiscal flexibility is required but an extension of the national escape clause (NEC) is perhaps not the right answer to underpin a constant and robust investment cycle as results so far have been quite mixed. Incentives are missing and here is the crux of the capacity conundrum in Europe. Instead, a double approach in which a big military spender – either the state or a corporate - would be rewarded by a fiscal loosening measure and easier credit access but support would be this time conditional and monitored against tangible results. Spending above budget lines would be authorized if, and only if, it is channeled into European-based industrial projects for identified critical equipment or resources, and key milestones are met on time. For firms, a tax-rebate of 1 to 2% could be applied in case of strong investment commitment that would be evaluate in function of their current capex policies and backlog levels. This should reassure sceptics who see another loosening of the rules as a loophole, and give markets what they want to see: ambition with discipline. Used well, a conditional waiver turns fiscal rules from an obstacle into an instrument of industrial strategy. Used badly, it becomes Europe's next debt debate.

Figure 29: Estimated 2027 output gap vs. fiscal pulse (based on primary budget balance as % of GDP)

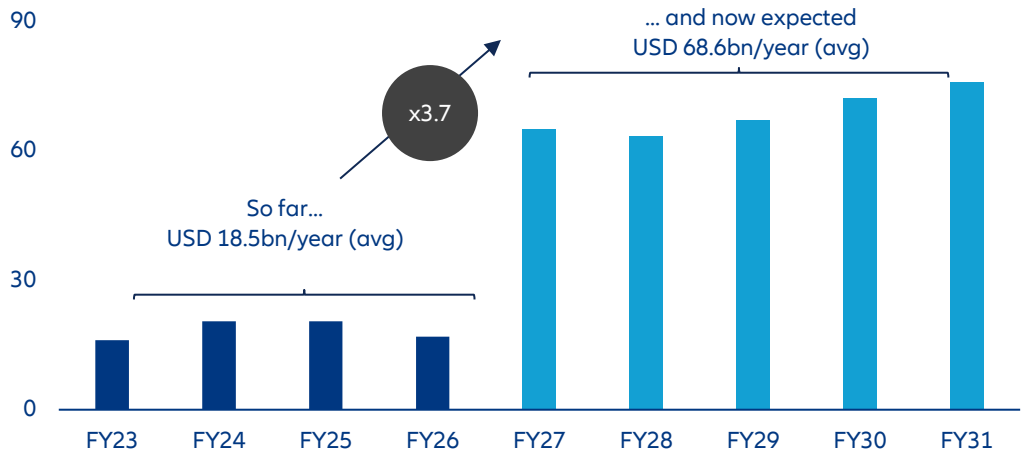


*Data as of September 2026. *Real growth estimate based on new October 2026 IMF forecasts.** Potential GDP growth and primary budget balance estimates based on spring 2026 European Commission forecasts. Sources: European Commission (Spring 2026 economic forecast), IMF (WEO October 2026), Allianz Research*

Horizon 2: Thinking on a 2030 defensive line

Building supranational reserves as the ultimate disruption-mitigation tool. Let's take US as example. Having the biggest and most performing defense industry does not prevent it from building up strategic reserves to anticipate market shocks and/or a wartime-led demand surge. Europe should do the same for critical equipment, arms and ammunition. A reserve cuts dependence on foreign supply and buys time when conflict closes borders and ports. It also needs ownership beyond national flags. Build supranational governance and a shared financing base, with European borrowing on the table, so that every capital feels concerned. Conditioning financial support on joint procurement channels would end the national conflicts of interest that have sunk projects before. The ideal is a nation-free fleet of arms and ammunition, usable only under NATO governance, with clear intermediate targets so that private firms can plan capacity, hire and invest with confidence.

Figure 30: US Pentagon budget requirement for missile procurement

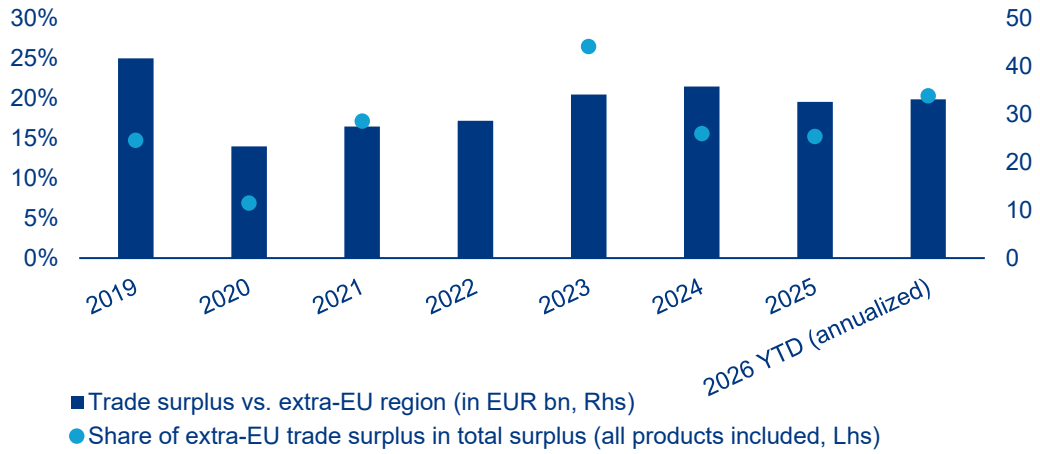


Data extracted from FY27 Department of Defense budget (April 2026). Source: US departments of State and War, LSEG Datastream, Allianz Research

Modernize or be dependent again... Modernization is the best protection against new dependence, and it protects what Europe sells best: defense exports are a major revenue line, and they erode the moment the continent slips off the technology curve. The priorities are clear. First, build an air-defense and drone industry at scale. Second, widen the footprint in space, with broader constellations and stronger launch capacity. Third, invest in AI, the most under-funded defense segment, and fuse it with the cyber shield. Automation and robotics are the multiplier. Autonomous mobility advances from the car industry can transfer, and R&D should be pooled across sectors. Joint investment with semiconductor, software and base-metal producers should lift material quality, onboard intelligence and computing power. Quantum belongs in the same pipeline. The primary goal is a leading-edge European model that can be exported, not an assembly of imported parts.

...and lose your best trade engine and political stabilizer. For years, aerospace and aircraft have been Europe's most performing segment in trade exchanges, generating a consistent EUR30–35bn annual surplus toward non-EU members. More recently, the ramp-up in defense capacity has added EUR1–3bn per year in weapons and ammunition exports, a contribution that is far from negligible. But this is not just about trade balances. European defense expertise is widely acknowledged abroad and serves as the most effective diplomatic connector during high-level political engagements with international partners. It is, in essence, a powerful geopolitical tool: defense equipment and know-how open doors to broader bilateral agreements, strengthen alliances and help counter global fragmentation. Failing to invest in military modernization does not just weaken Europe's security – it risks dismantling the very engine that fuels its trade influence and strategic relevance on the world stage.

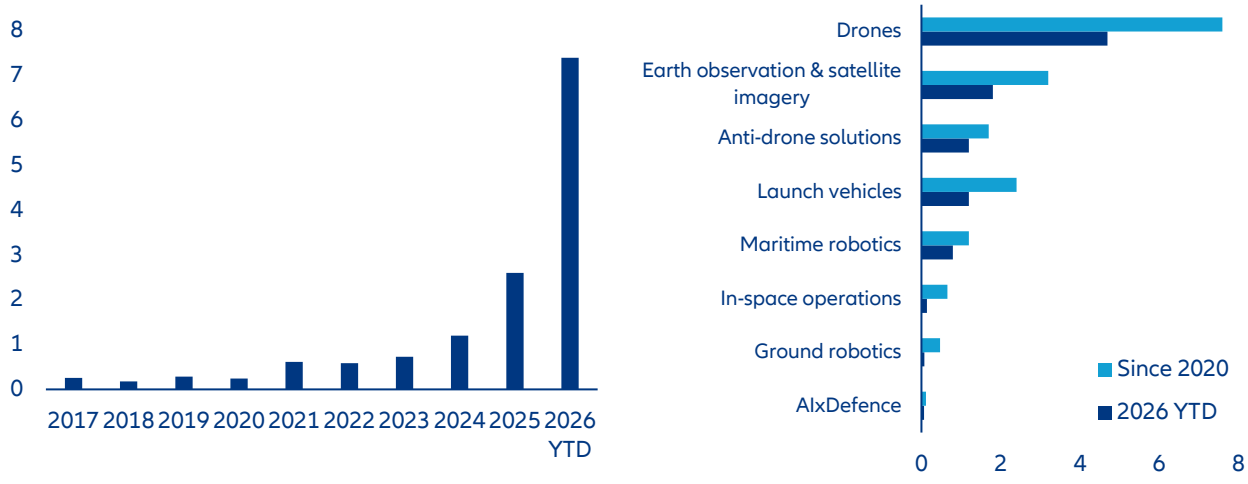
Figure 31: Aerospace, arms and ammunitions trade surplus from EU-27 toward non-EU-27 members (in EUR bn)



EU recorded a trade deficit in 2022 hence the absence of data for the trade ratio at this date. Data as of August 2026. Sources: Eurostat, Allianz Research

Drones and space are the bright spot, AI and robotics are under-invested. Europe's defense technology is being rebuilt, but so far capital transmission has mostly being channeled where Europe was the weakest and political will was strongest: drones collected near half of defense-related investment in the European venture capital market (44% since 2020), and space and satellite imagery follow. In the meantime, AI-for-defense has attracted almost nothing, and robotics only a fraction of drone funding. Yet warfare is shifting toward digital and electric-powered assets. The economy runs on algorithms, data centers and power grids, which makes them primary targets, as this year's Middle East conflict showed. In this context, European governments and defense primes should (1) treat AI as a strategic asset and open procurement to outside technology firms; (2) use co-investment and guaranteed demand to channel private capital into robotics and autonomy, which should also ease the sector's labor shortages, and (3) protect data centers and grids as defense infrastructure. The US and China are investing heavily in both fields and could turn that lead into a battlefield edge. Europe should not repeat in AI the delay it has just started to correct in drones.

Figures 32 & 33: Venture capital investment into European defense firms



Data as of September 2026. Sources: Dealroom.co, Allianz Research

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